

GERSTEIN HARROW LLP

The Hon. Margaret M. Garnett
United States District Court
Southern District of New York
40 Foley Square
New York, NY 10007

Re: Supplemental Letter in Response to Non-Party Aave LLC's Motion to Vacate Restraining Notice in Kim v. Democratic People's Republic of Korea, 25-MC-527, In re Central Bank of the Islamic Republic of Iran, 26-MC-33, and Calderon-Cardona v. Democratic People's Republic of Korea, 25-MC-94

Dear Judge Garnett,

On Monday, May 4, 2026, non-party Aave LLC sought an emergency order vacating Plaintiffs' restraining notice directed to Garnishee Arbitrum DAO. *E.g.*, ECF No. 42. Aave sought immediate relief because "[t]he users of the Aave Protocol do not have the luxury of weeks, or even days." *Id.* at 22. This is because, Aave LLC contended, its "users are currently unable to access the Immobilized Assets, and continued imposition of the Restraining Notice risks catastrophic, cascading effects on the Aave Protocol." *Id.* Plaintiffs responded on May 5, 2026, arguing (among other things) that there was no urgency that ought to prevent the parties from briefing the issues of law and fact underlying this case on an expedited, but not emergency, schedule. ECF No. 47 at 7. Plaintiffs write to briefly update the Court on three matters.

First—understanding that Aave LLC could not have predicted the future at the time of its filing—to the extent a market crisis within "even days" was likely on May 4, it has not happened by today, May 8. In my attached declaration, I explain that the price of AAVE tokens is a good proxy for the health of the Aave protocol. As the Declaration shows, the price declined precipitously for two days after North Korea printed excess rsETH on April 18. It then stabilized and has remained stable since approximately April 20. Since May 1, when the restraining notice at issue was served on Arbitrum DAO, the price has remained stable, and indeed has increased slightly since the restraining notice was served.

Second, since the parties' hearing before this Court yesterday, I have conferred with an expert, who reports that he should be able to generate an adequate expert report on the issues in this case within three weeks. I have engaged him to do so and urged him to complete it even sooner if possible. If Plaintiffs submit that report alongside a motion for turnover on May 28 at the latest, Aave LLC and other interested parties respond on June 4, and Plaintiffs reply on June 9, the matter will be briefed and ready for a hearing before Aave LLC's initial proposal was set to take effect.

Third, I received a call on May 7 from David Feder of the law firm Fenwick & West representing the Arbitrum Foundation. Feder asked whether Plaintiffs would agree

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to release our restraint on the Immobilized Assets and allow those assets to be transferred, by operation of the pending Arbitrum Governance proposal, to the multi-signature address controlled by (among others) Aave, *see, e.g.* ECF No. 33-5 (proposal), and come to an agreement that the restraint would then operate on the custodians of the receiving address. In his view, this would relieve Arbitrum DAO from any restraint but preserve our restraint on the Immobilized Assets immediately upon their movement to the recipient multi-signature address.

I said to Feder that if Aave LLC agreed to a reasonable briefing schedule for turnover, consented to the jurisdiction of this Court, and offered adequate assurance that Aave LLC and possibly the others with access to the multi-signature address will comply with the restraining notice during the agreed time for briefing and decision, I do not oppose such an agreement. I also said that Plaintiffs would indeed likely agree to allow Aave LLC to substitute U.S. dollars or assets of equivalent value in place of the Immobilized Assets if it needs the Immobilized Assets specifically to stabilize its other positions.

I bring this conversation to the Court's attention because these options are, perhaps, along the lines of what the Court was considering when discussing a trust at the recent hearing. Moreover, as I mentioned at the hearing, Plaintiffs seek to use the restraining notice only to immobilize assets long enough to permit this Court to consider whether the assets should be turned over to Plaintiffs to satisfy their outstanding judgments. And although the law provides that a restraining notice is valid for a year with the possibility of an extension, N.Y. C.P.L.R. § 5222(b), Plaintiffs are willing to file a turnover motion much more quickly than that.

Whatever was true on Monday when Aave filed its Motion, there appears to be no crisis in the crypto markets afoot now. Accordingly, Plaintiffs respectfully request that this Court keep the restraining notice in place to permit Plaintiffs to have an opportunity to submit a turnover motion and expert report. And while all parties work as diligently as possible to put turnover squarely before the Court, there may also be a possibility, so long as the restraining notice remains in place for now, for all involved to reach an interim arrangement that allows Plaintiffs, Aave LLC, and Arbitrum DAO to meet their stated needs with respect to the Immobilized Assets.

Respectfully submitted,

/s/ Charles Gerstein

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**IN THE UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT OF NEW YORK**

HAN KIM, *et al.*, Plaintiffs,

U.

THE DEMOCRATIC PEOPLE'S
REPUBLIC OF KOREA, a.k.a. NORTH
KOREA, Defendant

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IN RE CENTRAL BANK OF THE  
ISLAMIC REPUBLIC OF IRAN, et al.

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RUTH CALDERON-CARDONA, et al.,
Plaintiffs,

U.

THE DEMOCRATIC PEOPLE'S
REPUBLIC OF KOREA, et al.,
Defendants

&

ARBITRUM DAO,

Garnishee (as to all cases)

Case Nos. 25-MC-527-MMG
26-MC-033-MMG
26-MC-094-MMG

**SUPPLEMENTAL DECLARATION OF CHARLIE GERSTEIN IN
OPPOSITION TO NON-PARTY AAVE LLC'S EMERGENCY MOTION TO
VACATE RESTRAINING NOTICE**

DECLARATION

1. My name is Charlie Gerstein. I am over eighteen years old and, if called to testify, could competently testify to the following matters.

2. I am counsel for judgment-creditors in this matter.

3. I have litigated cases involving DAOs and related crypto matters continuously for nearly five years.

4. Generally speaking, in my experience, the price of a DAO's governance token is a reasonable proxy for the market's view of the health (and likely future health) of that DAO.

5. On May 7, I visited app.aave.com/governance, Aave's governance website. It reads "Aave is a fully decentralized, community governed protocol by the AAVE token-holders. AAVE token-holders collectively discuss, propose, and vote on upgrades to the protocol."

6. On May 7, I visited CoinMarketCap, a website that I have seen relied on elsewhere for the prevailing market price of reasonably liquid crypto assets and that I believe to be an accurate archive of the price history of crypto assets. I looked up the price history of AAVE, which is available at <https://coinmarketcap.com/currencies/aave/historical-data/>. That website displays historical data using UTC time as a reference. UTC is also known as Greenwich Mean Time, and it is currently four hours ahead of the time in New York. Because crypto markets generally do not close in the way that, say, the New York Stock Exchange does outside the hours of 9:30 am to 4:00 pm New York time, Coin Market Cap treats

the earliest price data on a given date as the “opening” price and last price data on a given date as the “closing” price.

7. The incident giving rise to this case occurred on April 18, 2026. On that date, according to the website mentioned above, the opening price of AAVE was \$115.25 and the closing price \$101.42.

8. The next day, April 19, the opening price was \$101.43 and closing price \$90.25.

9. From April 20 to April 30, the closing price remained between \$90.83 and \$97.54 each day.

10. On April 30, the closing price was \$92.81.

11. On the evening of May 1 in New York—approximately midnight May 2 UTC—I served the restraining notice pursuant to the Court’s order of alternative service.

12. At the close of the day on May 1 UTC time, which is around the time when the restraining notice was served, the closing price was \$92.00.

13. On May 2, after the restraining notice was served, the closing price had increased to \$93.14.

14. On May 3, the closing price was \$92.50.

15. On May 4, counsel for Aave filed the emergency motion to vacate and emailed Chambers to request that the Court take “urgent action” by holding a hearing the following day, May 5.

16. On May 4, the closing price was \$92.30.

17. On May 5, the closing price was \$93.50.

18. On May 6, the day the Court held an emergency hearing, the closing price was \$94.27.

19. On May 7, the closing price was \$92.43.

20. The closing price of the AAVE token on May 7 UTC time of \$92.43 is slightly above the closing price of \$92.00 on May 1, which is approximately when the restraining notice was served.

21. The current price as of May 8 at 10:15 UTC is \$92.47.

22. The approximate current price as of this filing is, therefore, slightly above the closing price of \$92.30 on May 4, which is the date when Aave filed its emergency motion to vacate and emailed Chambers to request “urgent action” on it.

I declare under penalty of perjury that the foregoing is true and correct.
Executed on May 8, 2026.

/s/ Charlie Gerstein
Charlie Gerstein